

Participation Agreement RSA

Agreement # **4998CM0379**
PA#**CW3647582**

EFFECTIVE DATE OF THIS PARTICIPATION AGREEMENT ("PA"): 10.07.2023

This PA between IBM South Africa (pty) Ltd ("Buyer") and George P Johnson FZ LLC ("Supplier") adopts and incorporates by reference all of the terms and conditions of the Base Agreement 4998CM0379 in effect as of the date hereof ("Base Agreement"). This PA automatically incorporates any future amendments to the Base Agreement referenced in this PA, and will be made a part of this PA to the extent that the amendments do not conflict with the terms of this PA unless otherwise agreed to in writing by the parties to this PA.

The parties to this PA agree that purchases and sales of the Deliverables, Products or Services, as defined in the Base Agreement, will be conducted in accordance with, and be subject to, the terms and conditions of this PA, the Base Agreement and any applicable Work Authorizations.

AMENDMENTS: The following terms and conditions amend provisions of the Base Agreement to bring the conduct of the parties' transactions into conformity with local law and practice.

1.0 Prior Communications and Order of Precedence

In the event of any conflict in the terms of the Base Agreement, the order of precedence will be: (i) the quantity, payment and delivery terms of the relevant WA; (ii) the relevant SOW; (iii) this PA; (iv) the Base Agreement; and (v) the remaining terms of the relevant WA.

2.0 Termination of this PA

Notwithstanding Section 3.0 of the Base Agreement, either party may terminate this PA, without any cancellation charge, if any of the following events occurs in respect of the other party or the terminating party has reasonable grounds to believe that one is likely to occur, namely that the other party: (i) is going into liquidation (other than voluntary liquidation for the purpose of restructuring); (ii) is placed under winding up or judicial management whether a provisional or final order; (iii) enters into a scheme or voluntary arrangement with its creditors as a general body; or (iv) permits any final judgment against it to remain unsatisfied for more than fourteen (14) days. Such termination shall take effect upon service of notice in writing to the other Party, liquidator or judicial manager. The Party terminating shall have no liability to the other Party except for obligations accrued prior to termination, but may claim for damages suffered by the Party terminating.

3.0 Warranties

The implied warranties of MERCHANTABILITY OR FITNESS FOR A PARTICULAR USE specified in the Base Agreement are synonymous with the warranties of QUALITY OR FITNESS FOR PURPOSE.

4.0 Limitation of Liability

The categories of loss and damage specified in the Base Agreement (i.e., lost revenues, lost profits, consequential, special or punitive damages) are replaced by the following categories of loss and damage: economic loss (including loss of profits, business, revenue, goodwill or anticipated savings), special, indirect or consequential loss. Additionally, each party will be liable without limit for death or personal injury resulting from the negligence of Buyer Personnel or Supplier Personnel (as the case may be).

5.0 Choice of Law and Forum; Waiver of Jury Trial; Limitation of Action

The following provision is added to subsection 15.3 of the Base Agreement: The parties hereby submit to the non-exclusive jurisdiction of the High Courts of the Republic of South Africa.

6.0 Data Privacy

Where Buyer is incorporated in a country within the European Economic Area and Supplier will be processing data on behalf of Buyer, the following additional section must be included:

In addition to the parties obligations under Subsection 14.6 of the referenced Base Agreement or any disclosure/nondisclosure agreements, where under this PA Buyer discloses information relating to an identified or identifiable individual, partnership, corporation or other entity ('Personal Data') Supplier will apply appropriate technical and organizational security measures to protect Personal Data against destruction, loss, alteration, unauthorized disclosure or access, and against all other unlawful forms of processing (including, but not limited to, ensuring the reliability of any

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personnel who have access to the Personal Data). Supplier represents and warrants: (i) that it will comply with applicable data protection laws and regulations (including any requirement for notification to, or registration with, country data protection authorities), and (ii) that it will only access, use, manage, disclose to third parties, transfer overseas or otherwise process Personal Data in accordance with Buyer's instructions. Buyer generally instructs Supplier to process Personal Data to the extent necessary to perform this PA. Supplier will promptly assist Buyer in responding to requests to allow access to, correct, block, suppress or delete any Personal Data, including providing Buyer with a copy of all relevant Personal Data in tangible form. Supplier will not transfer any Personal Data out of any country having data protection laws and/or regulations restricting transfers of Personal Data unless that transfer is unavoidable in order for Supplier to perform its obligations under this PA, or where Buyer consents to the transfer in writing. Buyer may, upon reasonable notice, audit and verify Supplier's compliance with the provisions of this Section. On termination of this PA Supplier shall, at Buyer's request, promptly return or erase all Personal Data stored in its internal systems.

7.0 B – BBEE

The Buyer is committed to the achievement of the goals set out in the Broad-Based Black Economic Empowerment Act no 46/2013 ("the B-BBEE Act") and all other related legislation

The Supplier acknowledges and accepts that in order for the Buyer to achieve its goals in terms of the B-BBEE Act, the Supplier's B-BBEE status is of critical importance to the Buyer. The Buyer prefers to contract with Suppliers who meet the following criteria;

- : Have between a Level 1 (one) and 4 (four) BEE Rating;
- : Have a Black Ownership ("BO") of 51% (fifty one percent) or higher;
- : Black Woman Ownership ("BWO") of 30% (thirty percent) or higher.

The Supplier confirms that in terms of the B-BBEE Act (53/2003), it currently holds a ____ (*Buyer to insert the BEE Level*) Rating.

The Supplier confirms that in terms of the B-BBEE Act 46/2013, it shall be classified as an Empowering Supplier. Furthermore the Supplier confirms that:

- 1) If exempt (eg: Intellectual Property) – it shall comply with all requirements in order to be deemed as an exclusion.
- 2) if the Supplier is of a rating between 1 (one) – 4 (four): it will not drop more than 1 (one) level in terms of its BBEE rating;
- 3) if the Supplier is of a rating between 5 (five) – 8 (eight) : it will:
 - 1) Provide a detailed plan with milestones and timelines required in order to increase its B-BBEE Rating to a level 4.
 - 2) Use all possible endeavors to achieve the requirement as stated above. The Buyer in its sole discretion will determine if the Supplier has used all possible endeavors to achieve the required rating.
- 4) If the Supplier is of a rating of non compliant: it will apply within 15 (fifteen) days for a certificate in terms of the B-BBEE Act. Within 30 (thirty) days after applying for the certificate it shall provide the Buyer with a copy of the Certificate. If the Supplier is not able to provide the certificate, the Supplier is required to provide justification why and a letter from an accredited Agency stating when the Certificate will be available;

The Supplier shall:

- : In respect of Generic Enterprises: be verified in terms of an authorized and accredited Agency as stipulated in the B-BBEE Act.

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RSA

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In respect of Exempted Micro Enterprise (“EME”) / Qualifying Small Enterprises (“QSE”): be required to provide an affidavit as required in terms of the B-BBEE Act.

All costs in order to obtain the B-BBEE Certificate and / or Affidavits shall be borne by the Supplier.

- : Provide the Buyer within 10 (ten) days of signature of this agreement the following documents:
 - : Current B-BBEE Certificate in respect of Generic Companies;
 - : Current affidavit in respect of EME and QSE;
 - : Current BEE Policy;
 - : Plans that the Supplier has in order to retain and improve its current ratings

The Supplier shall reasonably act to ensure that it will commence its verification process early enough to ensure that its current B-BBEE Certificate does not expire without a new B-BBEE Certificate being in place, issued and available to send to the Buyer.

Based on this commitment the Supplier will provide the above mentioned items on an annual basis within 10 (ten) days of expiration of their Current B-BBEE Certificate.

In the event that the new B-BBEE Certificate / Affidavit is not readily available, the Supplier shall provide the Verification letter from an authorized and accredited Verification agency / justification why the affidavit has not been completed.

- : Advise the Buyer’s Procurement Specialist immediately in writing in the event that any factors result and / or the Supplier reasonably believes / foresees that the Supplier’s level is / may be reduced. In providing this notification, the Supplier is required to provide the reasons for the possible reduction, the plans to remedy the reduction and the required timelines in order to remedy the issue.
- : Warrant that it has read, is fully conversant, and shall strictly comply, with the legislation, any other statutory or regulatory requirements applicable to it in relation to broad based black economic empowerment.
- : Be liable for all Audit costs in the event that the Buyer in its sole discretion carries out an audit (using internal and / or external resources) in terms of “*Record Keeping and Audit Rights*” and it is ascertained that the information provided by the Supplier is not accurate.

Supplier acknowledges and confirms that any act wherein the Supplier does not comply with any provision of this clause, the Supplier shall be in breach and the Buyer may in its sole discretion terminate any Agreements between the parties as per the Termination Clause in respect of termination with Cause.

8.0 Survival

In the event the Base Agreement is terminated, the terms and conditions of the Base Agreement incorporated by reference herein shall survive such termination and remain in effect for purposes of this PA only.

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ACCEPTED AND AGREED TO:		ACCEPTED AND AGREED TO:	
By: IBM South Africa (pty) Ltd		By: George P Johnson FZ LLC	
Buyer Signature	Date	Supplier Signature	Date
Printed Name: Krisztina Velkei		Printed Name:	
Title and Organisation:		Title and Organisation:	
Buyer Address: 90 Grayston Drive, Sandton, GP, ZA, 2146		Supplier Address: Office 217 Loft Offices Building 2 Dubai 0000 United Arab Emirates	